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CRITICAL INTERVENTION: The Government did not let the Satyam scandal engulf the IT&ES sector

BATTLE REVIVAL: The Ambani brothers were back at war



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RAMPING GROWTH: Auto sales symbolise recovery

“Poverty remains a major challenge. Our poor are still too poor and we need to do much more to improve their standard of living.”

MANMOHAN SINGH, Prime Minister

sumption and the spill-over of this spending power into urban areas, are already witnessing a turnaround. Adi Godrej, chairman, Godrej Group, declared “India had turned the corner as early as in January”. Videocon Chairman Venugopal Dhoot questioned the pessimism and declared that the bad news was a blip and India was “on the recovery path”. As companies queued up to file for Chapter 11 in the US, Indian entrepreneurs hunted and acquired 34 companies abroad for a little over \$703 million. In June 2009, INDIA TODAY declared ‘Hope is back in business’ to the shock of sceptics.

Soon—first on the bourses, the malls and the auto marts—recovery was a very visible phenomenon. Foreign portfolio managers and Indian investors pumped money into the stock market, signalling confidence in the economy. Indeed, in the worst of years, India received the highest inflow of \$17 billion-plus in portfolio investments, sending the BSE Sensex from sub-9,000 to over 17,000. As auto giants world over begged for bailouts, Indian auto makers were lining up the ramp with offerings tuned to the reality of the recession. Auto sales for the first eight months grew 15 per cent while that of passenger cars grew 21 per cent and two-wheelers 17 per cent.

The revival witnessed was essentially the untold story of India’s rural resurgence. It was also the unique confluence of politics and economics. Chasing gross electoral dividends, the Congress pushed for higher spends in the rural economy. Agriculture Minister Sharad Pawar bulldozed banks to quadruple credit to farmers and doubled procure-

ment prices for benchmark crops of paddy and wheat. Add the ramped-up spend of over Rs 1,00,000 crore in Centrally-sponsored schemes. Not all the money may be reaching the poor; some may have missed the demographic group aimed at but yet it has moved geographically from the metros to rural India. By November 2009, the NCAER business confidence in India surpassed the level that prevailed before the financial crisis with a rating of 143.7 points in October 2009, compared to 118.6 points in July 2009. It is not surprising then that Finance Minister Pranab Mukherjee expects GDP growth for 2009-10 to be around 7.5 per cent and Prime Minister Manmohan Singh believes India will return to the 9 per cent growth trajectory.

Sentiments are good but are not enough to sustain growth. It is time for India to address the structural issues that impede growth. For too long, supply side constraints have hindered the creation of demand, income and growth. The biggest threat today is food price inflation which is fuelled by a pathetic supply chain, leading to wastage and shortage. Large projects worth over \$120 billion are mired in delays and clearances. Each day of delay translates into lost jobs, loss of revenue and lower growth. India is uniquely placed that every challenge it faces is an opportunity for growth. Perhaps it is time the Congress revised its slogan to ‘Congress ka haath vikas ke saath’. If the Government addresses three or five of the critical challenges, it can engineer economic growth and deliver a sustainable electoral plank. Now that could be a new case study for theorists and practitioners. ■